



Financial markets

The flow of money around the world is essential for businesses to operate and grow. Stock markets are places where individual investors and corporations can trade currencies, invest in companies, and arrange loans. Without the global financial markets, governments would not be able to borrow money, companies would not have access to the capital they need to expand, and investors and individuals would be unable to buy and sell foreign currencies.

Financial markets in action

Thanks to the global financial markets, money flows around the world between investors, businesses, customers, and stock markets. Investors are not restricted to placing their money with companies in the country where they live, and big businesses now have international offices, so money needs to move efficiently between countries and continents. It is also important for the growth of the global economy that people are able to invest money outside of their domestic markets.

Inside the stock exchange

Buying and selling occurs in real time, and prices change by the second.

Brokers trade shares (also known as stocks), bonds, commodities (raw materials), and specialty financial products such as futures and options.

Buyers specify which share or asset to buy, at what price, and in what volume.

Investors buy via brokers, who set prices and make **commission** on sales.

When shares are easy to buy and sell, the market is said to be liquid. When there are fewer buyers and sellers, the market is said to be illiquid.

A stock is known by its "ticker"—usually a shortened version of its trading name.

Buying shares or options

Investors study data to decide whether to buy or sell financial assets. Data is updated regularly to reflect changes in supply and demand. See pp.62–63

